



GA Iris Re Limited

Financial statements

As of December 31, 2025, and 2024

INDEX TO FINANCIAL STATEMENTS

Independent auditor's report

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INDEPENDENT AUDITOR'S REPORT

To The Board of Directors of
GA Iris Re Limited

Opinion

We have audited the financial statements of GA Iris Re Limited (the "Company"), which comprise the balance sheets as of December 31, 2025 and 2024, and the related statements of income (loss), comprehensive income (loss), shareholder's equity, and cash flows for the year ended December 31, 2025 and the period from inception to December 31, 2024, and the related notes to the financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for year ended December 31, 2025 and the period from inception to December 31, 2024, in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

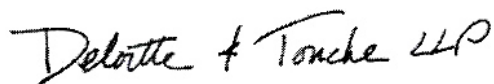
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a

material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

A handwritten signature in black ink that reads "Deloitte & Touche LLP". The signature is written in a cursive, flowing style.

April 23, 2026

GA IRIS RE LIMITED

BALANCE SHEETS

	As of December 31,	
	2025	2024
(\$ in thousands)		
Assets		
Investments:		
Funds withheld receivable at interest (portion at fair value: \$74,094 and \$(47,142), respectively.)	\$ 9,283,679	\$ 3,498,994
Other investments	3,191	234
Total investments	9,286,870	3,499,228
Cash and cash equivalents	185,846	71,038
Accrued investment income	158	152
Reinsurance receivable	4,918	—
Cost of reinsurance assets	30,681	—
Other assets	26,199	3,244
Total assets	9,534,672	3,573,662
Liabilities		
Policy liabilities	8,168,971	3,015,079
Other liabilities	22,389	2,574
Reinsurance liabilities	358,386	270,940
Total liabilities	8,549,746	3,288,593
Commitment and contingencies (Note 13)		
Shareholder's equity		
Common stock, \$1 par value, 250,000 shares authorized, issued, and outstanding	250	250
Additional paid-in capital	892,339	300,970
Retained earnings (deficit)	111,798	(29,638)
Accumulated other comprehensive income (loss)	(19,461)	13,487
Total shareholder's equity	984,926	285,069
Total liabilities and shareholder's equity	\$ 9,534,672	\$ 3,573,662

See accompanying notes to financial statements.

GA IRIS RE LIMITED

STATEMENTS OF INCOME (LOSS)

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Revenues		
Premiums	\$ 2,039,251	\$ 1,199,915
Policy fees	162	4
Net investment income (loss)	350,262	62,579
Net investment-related gains (losses)	116,022	(46,747)
Total revenues	2,505,697	1,215,751
Benefits and expenses		
Policy benefits and claims (remeasurement (gain) loss on policy liabilities: \$— and \$—, respectively.)	2,158,999	1,173,093
Amortization of cost of reinsurance assets	(30,681)	—
Insurance expenses	196,509	71,032
General and administrative expenses	7,771	3,349
Total benefits and expenses	2,332,598	1,247,474
Income (loss) before income taxes	173,099	(31,723)
Income tax expense (benefit)	31,663	(2,085)
Net income (loss)	\$ 141,436	\$ (29,638)

See accompanying notes to financial statements.

GA IRIS RE LIMITED

STATEMENTS OF COMPREHENSIVE INCOME (LOSS)

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Net income (loss)	\$ 141,436	\$ (29,638)
Other comprehensive income (loss):		
Effect of changes in the discount rates used to measure limited-payment long duration insurance contracts	(41,707)	17,072
Other comprehensive income (loss), before taxes	(41,707)	17,072
Income tax expense (benefit) related to:		
Net effect on policyholder benefits	8,759	(3,585)
Income tax expense (benefit) related to other comprehensive income (loss)	8,759	(3,585)
Other comprehensive income (loss), after taxes	(32,948)	13,487
Comprehensive income (loss)	\$ 108,488	\$ (16,151)

See accompanying notes to financial statements.

GA IRIS RE LIMITED

STATEMENTS OF SHAREHOLDER'S EQUITY

	Common stock		Additional paid-in capital		Retained earnings (deficit)		Accumulated other comprehensive income (loss)		Total shareholder's equity	
(\$ in thousands)										
Balance as of inception	\$	—	\$	—	\$	—	\$	—	\$	—
Net income (loss)		—		—		(29,638)		—		(29,638)
Other comprehensive income (loss)		—		—		—		13,487		13,487
Capital contributions		250		300,970		—		—		301,220
Balance as of December 31, 2024	\$	250	\$	300,970	\$	(29,638)	\$	13,487	\$	285,069
Net income (loss)		—		—		141,436		—		141,436
Other comprehensive income (loss)		—		—		—		(32,948)		(32,948)
Capital contributions		—		591,369		—		—		591,369
Balance as of December 31, 2025	\$	250	\$	892,339	\$	111,798	\$	(19,461)	\$	984,926

See accompanying notes to financial statements.

GA IRIS RE LIMITED

STATEMENTS OF CASH FLOWS

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Cash flows from operating activities		
Net income (loss)	\$ 141,436	\$ (29,638)
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Net investment and policy liability related (gains) losses	(116,022)	46,680
Net accretion and amortization	(1,600)	992
Interest credited to policy account balances less policy fees	171,955	12,534
Deferred income tax expense (benefit)	15,351	(3,585)
Changes in operating assets and liabilities:		
Reinsurance transactions and acquisitions, net of cash provided (used)	—	(2,848)
Change in premiums, funds withheld, and reinsurance receivable, net of reinsurance premiums payable	(5,586,135)	(2,656,337)
Change in cost of reinsurance assets	(35,236)	—
Change in accrued investment income	(6)	(152)
Change in policy liabilities and accruals, net	1,852,632	498,778
Other operating activities, net	(9,810)	(752)
Net cash provided by (used in) operating activities	(3,567,435)	(2,134,328)
Cash flows from investing activities		
Purchase of other investments	(2,957)	(234)
Net cash provided by (used in) investing activities	(2,957)	(234)
Cash flows from financing activities		
Reinsurance transactions, net of cash provided (used)	—	(10)
Additions to contractholder deposit funds	3,121,555	1,905,742
Withdrawals from contractholder deposit funds	(27,724)	(1,352)
Issuance of common stock	—	250
Capital contributions	591,369	300,970
Net cash provided by (used in) financing activities	3,685,200	2,205,600
Net change in cash and cash equivalents	114,808	71,038
Cash and cash equivalents, beginning of period	71,038	—
Cash and cash equivalents, end of period	\$ 185,846	\$ 71,038
Supplemental cash flow information		
Income tax payments (receipts)	\$ 33,000	\$ 3,000
Non-cash transactions		
Contractholder deposit funds acquired through reinsurance agreements	\$ —	\$ 2,246

See accompanying notes to financial statements.

(1) Nature of business and basis of presentation

GA Iris Re Limited (“Iris Re,” the “Company,” we, our, or us) was incorporated on January 31, 2024, and is a Bermuda exempted limited liability company, registered under the Insurance Act 1978 as a Class E insurer. The Company was formed primarily for transactions sourced, negotiated, and underwritten by subsidiaries of Global Atlantic Limited (Delaware) (“the Sponsor,” “Global Atlantic,” or “GALD”). The reinsurance solutions include primarily both block and flow reinsurance of various annuity products. The Company is an indirect subsidiary of Global Atlantic, leveraging Global Atlantic’s proven reinsurance expertise. Through the co-investment framework, the Company accesses an attractive opportunity to deploy investor capital while assisting life and annuity companies in addressing capital, risk management, and strategic objectives.

The accompanying financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“U.S. GAAP”), which differ in certain respects from those followed in reports to the Bermuda Monetary Authority (the “BMA”), the insurance regulatory authority of Iris Re.

The financial statements reflect the reinsurance transactions entered into between Iris Re and the cedant, Global Atlantic Re Limited (“GA Re”), an affiliated insurance company (“affiliate Sponsor Insurance Subsidiary”). These reinsurance transactions comprise block reinsurance and flow reinsurance transactions, as described in Note 10 — “Reinsurance.”

The preparation of financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions. The most significant estimates are those used in determining valuation and impairment of investments, valuation of embedded derivatives, and valuation of policy liabilities.

(2) Significant accounting policies

The following are the Company’s significant accounting policies and references to notes providing additional information on policies:

Accounting policy	Note
Investments	3, 4 and 5
Composition of other assets, liabilities, insurance expenses, and general and administrative expenses	6
Policy liabilities	7
Income taxes	9
Reinsurance	10

Investments

In the normal course of business, the Company enters into reinsurance transactions with the affiliate Sponsor Insurance Subsidiary and invests surplus assets in various types of investments.

Investments include funds withheld receivable at interest ceded by the affiliate Sponsor Insurance Subsidiary and other investments.

Funds withheld receivable at interest

Funds withheld receivable at interest represent receivables for amounts contractually withheld by the affiliate Sponsor Insurance Subsidiary, in accordance with reinsurance agreements in which the Company acts as the reinsurer. While the assets in funds withheld are legally owned by the ceding company, the assets are separately identified and held in trusts for the benefit of the Company. All economic rights and obligations on the assets accrue to the Company. The assets in the funds withheld segregated accounts are typically managed by an investment manager, who periodically settles the total return from those assets.

The reinsurer has an indirect exposure to the credit risk of the underlying assets of the funds withheld account. As a result, funds withheld coinsurance agreements contain embedded derivatives, which are required to be separated from their host contracts and measured at fair value. The host contract relates to the reinsurance receivable from affiliate Sponsor Insurance Subsidiary under the funds withheld arrangement underlying the reinsurance transactions. The host contract, at inception of the reinsurance arrangement, represented the fair value of the non-cash consideration. The embedded derivative represents the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the statements of income (loss).

Investments segregated in trusts to collateralize the funds withheld receivable at interest include the following: fixed maturity securities, mortgage and other loan receivables, policy loans, other investments, and derivative instruments.

Derivative instruments held within the funds withheld at interest are primarily used to hedge certain risks, including interest rate risk and equity market risk, and to a lesser extent foreign exchange risks. Derivative instruments are generally recognized at estimated fair value in funds withheld receivable at interest on the balance sheets.

Other investments

Other investments in the balance sheets include the Company's investments in investment partnerships or limited liability companies, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the

Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements.

The income from the Company's equity method investments is included in net investment income (loss) in the statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as investing or operating activities within the statements of cash flows, based on the nature of the distributions.

Investment credit losses and impairment

Funds withheld receivable at interest

The Company reviews its funds withheld receivable at interest for expected credit losses considering, among other things, relevant credit enhancements and collateral provisions in the reinsurance arrangements.

Other investments

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Cash and cash equivalents

Cash and cash equivalents in the balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Policy liabilities

Policy liabilities (or collectively, "reserves") are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, discount rates, mortality, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit

payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company's net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

Fixed-rate annuities

The Company reinsures fixed-rate annuities for which the policy liabilities are determined in a manner consistent with the accounting for a deposit liability using the "effective yield method."

The liability is determined as the (1) initial consideration received; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method."

Limited-payment contracts

The Company reinsures limited-payment contracts, or payout annuities, that subject the insurer to risks over a period that extends beyond the period or periods in which premiums are collected. These contracts may be either non-life contingent or life-contingent.

Non-life contingent annuities

Non-life contingent payout annuities are accounted for as investment contracts. The Company records a net liability at contract inception, which is amortized using the effective yield method.

Life-contingent annuities

For life-contingent payout annuities, the Company records a liability for future policy benefits as the present value of future annuity payments. The liability is estimated using current assumptions that include mortality, morbidity, lapses and expenses. These assumptions are based on judgments that consider the Company's historical experience, industry data, and other factors.

Contracts are grouped into cohorts by the underlying reinsured contract type and issue year. The liability is adjusted for differences between actual and expected experience. The Company has elected to use expense assumptions that are locked in at contract inception, and are not subsequently reviewed or updated.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the statements of income (loss).

The discount rate assumption is a spot rate yield curve that is derived based on upper medium grade (low credit risk) fixed-income instruments with similar duration to the liability. The Company uses one or more external indices of corporate credit issues as its proxy for these instruments. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income (loss) ("OCI"). For liability cash flows between two market observable points on the yield curve, the Company interpolates the effective yield by holding the marginal rates constant. For liability cash flows that are projected beyond the last market-observable point on the yield curve, the Company uses the last market-observable yield level.

Any gross premiums received in excess of the net premium is part of the cost of reinsurance, and is recognized separately in income over the term of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contract.

Reinsurance

The Company co-invests in retirement block and flow reinsurance transactions with its affiliate Sponsor Insurance Subsidiary. In particular, consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a funds withheld coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in cost of reinsurance assets and policy liabilities in the balance sheets, respectively. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the statements of income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld agreements, the Company has the right to receive the total return on assets supporting the funds withheld receivable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the balance sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the statements of cash flows.

Organization expenses

Organization expenses are for startup costs required to launch the Company. These costs are expensed as incurred. Organization expenses are reported as an operating activity in the statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to payout contracts with life contingencies are recognized in premiums in the statements of income (loss) when due from the contractholders.

Amounts received as payment for investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the balance sheets. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits, generated through the Company's funds withheld receivable, which is reported in net investment income (loss) in the statements of income (loss).

Income taxes

The Company operates in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities. Such temporary differences are primarily due to the tax basis of reserves, unrealized investment gains/losses, reinsurance balances, embedded derivatives, and net operating loss ("NOL,") carryforwards. Changes in deferred income tax assets and liabilities associated with OCI are recorded directly to accumulated OCI in the balance sheets.

The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on the weight of all available evidence, the Company determines that it is not more-likely-than-not that some or all of the tax benefit will be realized. The Company adjusts the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

The Company recognizes tax positions in the financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority, based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized upon effective settlement with the related taxing authority. A liability is established for differences between positions taken on a tax return and amounts recognized in the financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

The Company reports interest expense related to income tax matters in income tax expense (benefit), and income tax penalties in general and administrative expenses in the statements of income (loss).

Future application of accounting standards

Improvements to income tax disclosures

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's financial statements.

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its financial statements.

(3) Investments

Funds withheld receivable at interest

As a reinsurance business, the Company is subject to the investment performance of the assets in the funds withheld receivable at interest. In the event of a ceding company's insolvency, the Company would need to assert a claim on the assets supporting its reserve liabilities. However, the risk of loss to the Company is mitigated by its ability to offset amounts it owes the ceding company for claims or allowances against amounts owed to it from the ceding company. As of both December 31, 2025, and 2024, the assets held supporting the reinsurance agreement were held by a affiliate Sponsor Insurance Subsidiary. The cedant, GA Re, has a financial strength rating of "A" from S&P.

Other investments

As of December 31, 2025, and 2024, the Company had \$3.2 million and \$234 thousand of investments in entities that own real estate, respectively. These investments are accounted for using the equity method of accounting.

Net investment income (loss)

Net investment income (loss) is comprised primarily of interest income and income from funds withheld receivable at interest

The components of net investment income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Income assumed from funds withheld receivable at interest	\$ 367,440	\$ 65,201
Short-term and other investment income	561	376
Gross investment income	368,001	65,577
Less investment expenses:		
Investment management fees	17,739	2,998
Net investment income (loss)	\$ 350,262	\$ 62,579

Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Unrealized gains (losses) on embedded derivative included in funds withheld receivable at interest	\$ 121,236	\$ (47,142)
Realized gains (losses) on funds withheld receivable at interest	(5,214)	395
Net investment-related gains (losses)	\$ 116,022	\$ (46,747)

(4) Derivatives

The Company has an embedded derivative related to reinsurance contracts that is accounted for on a funds withheld basis; an embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. This embedded derivative is included in funds withheld receivable at interest in the balance sheets.

The fair value of the derivative was as follows:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Embedded derivative – funds withheld receivable at interest	\$ 74,094	\$ (47,142)

(5) Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (the exit price). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy, based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect the Company's market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs, and the lowest priority to Level 3 inputs. A financial instrument's level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access at the measurement date for identical, unrestricted assets and liabilities.

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived, where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent, market-based inputs, which may increase

the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

The following tables represent the hierarchy for the Company's assets measured at fair value on a recurring basis:

As of December 31, 2025	Level 1		Level 2		Level 3		Total	
(\$ in thousands)								
Assets:								
Embedded derivative – funds withheld receivable at interest	\$	—	\$	—	\$	74,094	\$	74,094
Total assets at fair value	\$	—	\$	—	\$	74,094	\$	74,094

As of December 31, 2024	Level 1		Level 2		Level 3		Total
(\$ in thousands)							
Assets:							
Embedded derivative – funds withheld receivable at interest	\$	—	\$	—	\$	(47,142)	\$ (47,142)
Total assets at fair value	\$	—	\$	—	\$	(47,142)	\$ (47,142)

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability.

Funds withheld receivable at interest

A portion of the funds withheld receivable at interest carried at fair value represents embedded derivatives, and is valued based on the fair value of the underlying investments, which includes significant unobservable inputs.

Fair value of assets

Significant unobservable inputs

The significant unobservable inputs for funds withheld receivable at interest embedded derivative have been excluded. As discussed in Note 10 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts, and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's balance sheets.

NOTES TO FINANCIAL STATEMENTS

The tables below set forth a summary of gains and losses and changes in the fair value of the Company's Level 3 assets during the dates indicated:

	Year ended December 31, 2025									
	Net realized and unrealized gains (losses) included in				Balance, end of period					
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases						
(\$ in thousands)										
Assets:										
Embedded derivative – funds withheld receivable at interest	\$	(47,142)	\$	121,236	\$	—	\$	—	\$	74,094
Total assets	\$	(47,142)	\$	121,236	\$	—	\$	—	\$	74,094

	Year ended December 31, 2024									
	Net realized and unrealized gains (losses) included in				Balance, end of period					
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases						
(\$ in thousands)										
Assets:										
Embedded derivative – funds withheld receivable at interest	\$	—	\$	(47,142)	\$	—	\$	—	\$	(47,142)
Total assets	\$	—	\$	(47,142)	\$	—	\$	—	\$	(47,142)

(6) Composition of other assets, liabilities, insurance expenses, and general and administrative expenses

Other assets consist of the following:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Current income tax recoverable	\$ 18,188	\$ 1,499
Miscellaneous assets ⁽¹⁾	8,011	1,745
Total other assets	\$ 26,199	\$ 3,244

(1) Includes net affiliate receivable amount of \$8.0 million and \$1.7 million as of December 31, 2025, and 2024, respectively.

Other liabilities consist of the following:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Deferred income tax liability	\$ 6,593	\$ —
Accrued expenses and other payables ⁽¹⁾	15,796	2,574
Total other liabilities	\$ 22,389	\$ 2,574

(1) Includes related party payable of \$15.0 million and \$2.3 million as of December 31, 2025, and 2024, respectively.

Insurance expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Commission expense	\$ 173,287	\$ 61,351
Reinsurance expense allowance	21,350	9,057
Premium taxes	1,872	624
Total insurance expenses	\$ 196,509	\$ 71,032

General and administrative expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Professional services	\$ 6,674	\$ 2,959
Other miscellaneous general and administrative expenses	1,097	390
Total general and administrative expenses	\$ 7,771	\$ 3,349

(7) Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the balance sheets as of the dates indicated:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Policyholders' account balances	\$ 5,023,713	\$ 1,871,193
Liability for future policy benefits	3,109,071	1,105,012
Cost of reinsurance liabilities	36,187	38,874
Total policy liabilities	\$ 8,168,971	\$ 3,015,079

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward and average interest rates and cash surrender value as of and for the dates indicated:

	Year ended December 31, 2025		
	Fixed rate annuities	Payout annuities ⁽¹⁾	Total
<i>(\$ in thousands, except percentages)</i>			
Balance as of the beginning of the period	\$ 1,856,584	\$ 14,609	\$ 1,871,193
Issuances and premiums received	2,961,523	160,032	3,121,555
Benefit payments, surrenders, and withdrawals	(19,409)	(8,315)	(27,724)
Interest ⁽²⁾	168,852	3,103	171,955
Other activity ⁽³⁾	(107,061)	(6,205)	(113,266)
Balance as of the end of the period	\$ 4,860,489	\$ 163,224	\$ 5,023,713
Average interest rate	5.35 %	5.45 %	5.36 %
Cash surrender value ⁽⁴⁾	\$ 4,696,787	\$ —	\$ 4,696,787

(1) Includes payout annuities without life contingencies.

(2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.

(4) Cash surrender values are reported net of any applicable surrender charges.

	Year ended December 31, 2024		
	Fixed rate annuities	Payout annuities ⁽¹⁾	Total
<i>(\$ in thousands, except percentages)</i>			
Balance as of the beginning of the period	\$ —	\$ —	\$ —
Issuances and premiums received	1,892,042	15,946	1,907,988
Benefit payments, surrenders, and withdrawals	(385)	(967)	(1,352)
Interest ⁽²⁾	12,429	105	12,534
Other activity ⁽³⁾	(47,502)	(475)	(47,977)
Balance as of the end of the period	\$ 1,856,584	\$ 14,609	\$ 1,871,193
Average interest rate	5.30 %	4.24 %	5.30 %
Cash surrender value ⁽⁴⁾	\$ 1,832,290	\$ —	\$ 1,832,290

(1) Includes payout annuities without life contingencies.

(2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.

(4) Cash surrender values are reported net of any applicable surrender charges.

NOTES TO FINANCIAL STATEMENTS

The following table presents the account values by range of guaranteed minimum crediting rates and the related range of difference, in bps, between rates being credited to policyholders and the respective guaranteed minimums. Account value, as disclosed below, differs from policyholders' account balance, as it excludes balances associated with index credits, contractholder deposit fund host balances, and other associated reserves. In addition, the policyholder account balance includes discounts and premiums on assumed business which are not reflected in the account value.

As of December 31, 2025						
Range of guaranteed minimum crediting rates	Account values with adjustable crediting rates subject to guaranteed minimums:					
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	Total
(\$ in thousands, except percentages)						
2.00% - 2.99%	\$ —	\$ —	\$ —	\$ 14,408	\$3,274,779	\$3,289,187
3.00% - 4.00%	—	—	2,097	38,242	1,675,176	1,715,515
Total	\$ —	\$ —	\$ 2,097	\$ 52,650	\$4,949,955	\$5,004,702
Percentage of total	— %	— %	— %	1 %	99 %	100 %

As of December 31, 2024						
Range of guaranteed minimum crediting rates	Account values with adjustable crediting rates subject to guaranteed minimums:					
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	Total
(\$ in thousands, except percentages)						
2.00% - 2.99%	\$ —	\$ —	\$ —	\$ 6,901	\$1,689,541	\$1,696,442
3.00% - 4.00%	—	—	1,846	17,756	188,769	208,371
Total	\$ —	\$ —	\$ 1,846	\$ 24,657	\$1,878,310	\$1,904,813
Percentage of total	— %	— %	— %	1 %	99 %	100 %

Liability for future policy benefits

The following table summarizes the balances of, and changes in, the liability for future policy benefits for limited-payment contracts for the dates indicated:

	Years ended December 31,			
	2025		2024	
	Payout annuities ⁽¹⁾			
(\$ in thousands)				
Present value of expected future policy benefits				
Balance as of the beginning of the period	\$	1,105,012	\$	—
Balance at the original discount rate		1,122,084		—
Effect of changes in cash flow assumptions		7,417		—
Effect of actual variances from expected experience		(4,100)		(2,348)
Adjusted beginning of the period balance		1,125,401		(2,348)
Issuances		1,995,523		1,141,316
Interest		93,341		21,567
Benefit payments		(129,829)		(38,451)
Ending balance at the original discount rate		3,084,436		1,122,084
Effect of changes in discount rate assumptions		24,635		(17,072)
Balance as of the end of the period		3,109,071		1,105,012
Net liability for future policy benefits	\$	3,109,071	\$	1,105,012

(1) Payout annuities generally only have a single premium received at contract inception; as a result, the liability for future policy benefits generally would not reflect a present value for future premiums for payout annuities.

The following table summarizes the amount of gross premiums and assessments related to limited-payment contracts recognized in the statements of income (loss) during the dates indicated:

	Gross premiums and assessments	
	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Payout annuities	\$ 2,039,251	\$ 1,199,915
Total products	\$ 2,039,251	\$ 1,199,915

The following table reflects the weighted-average duration and weighted-average interest rates of the future policy benefit liability as of the dates indicated:

	As of December 31, 2025	As of December 31, 2024
	Payout annuities	
Weighted-average interest rates, original discount rate	5.40 %	5.35 %
Weighted-average interest rates, current discount rate	5.31 %	5.49 %
Weighted-average liability duration (years)	9.90	9.46

The following reflects the undiscounted ending balance of expected future benefit payments for limited-payment contracts as of the dates indicated:

	As of December 31, 2025	As of December 31, 2024
	Payout annuities	
(\$ in thousands)		
Expected future benefit payments, undiscounted	\$ 5,840,693	\$ 2,054,531
Expected future benefit payments, discounted (original discount rate)	3,084,436	1,122,084
Expected future benefit payments, discounted (current discount rate)	3,109,071	1,105,012

Significant inputs, judgments, and assumptions used in measuring future policy benefits

Significant policyholder behavior and other assumption inputs to the calculation of the liability for future policy benefits include discount rates and mortality. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the year ended December 31, 2025, assumptions were revised for expected mortality on certain payout annuities, resulting in an unfavorable impact of \$7.4 million. As part of the assumption review conducted during the year ended December 31, 2024, the Company concluded that no changes in assumptions were needed.

For the years ended December 31, 2025, and 2024, the Company recognized \$(41.7) million and \$17.1 million, respectively, in other comprehensive income (loss) due to changes in the future policy benefits estimate from updating discount rates. During the years ended December 31, 2025, and 2024, there were no changes to the methods used to determine the discount rates.

(8) Shareholder's equity

The maximum number of the Company shares authorized for issuance is 250,000 common shares, at par value of \$1 per share.

Capital contributions

As of December 31, 2025, and 2024, the Company has received \$591.4 million and \$301.0 million, respectively, in capital contributions from its parent.

For information on dividend restrictions on Iris Re, please see Note 11—"Dividend restrictions and statutory information."

(9) Income taxes**Provision for income taxes**

The provision for income taxes represents U.S. federal and state income taxes and Bermuda taxes. The effective tax rate for the year ended December 31, 2025 of 18.3% differs from the U.S. federal statutory rate primarily due to the valuation allowance.

The effective tax rate for the period from inception to December 31, 2024 was 21.0%. The effective tax rate on income before income taxes for the period from inception to December 31, 2024 agrees to the U.S. federal statutory rate.

Income (loss) before income taxes is all attributable to the U.S. income.

The table below presents the components of the expense for taxes attributable to continuing operations:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Current income tax expense (benefit):		
Federal	\$ 16,312	\$ 1,501
Total current income tax expense (benefit)	16,312	1,501
Deferred income tax expense (benefit):		
Federal	15,351	(3,586)
Total deferred income tax expense (benefit)	15,351	(3,586)
Total tax expense (benefit)	\$ 31,663	\$ (2,085)

The Company has operations in the U.S. and is subject to tax in the U.S. Iris Re is based in Bermuda, and made an election under Internal Revenue Code ("IRC") Section 953(d) to be treated as a U.S. domestic insurance company and will file Form 1120 L for the tax year ended December 31, 2025.

Iris Re's federal income tax returns are routinely audited by the Internal Revenue Service ("IRS") and, when appropriate, provisions are made in the financial statements in anticipation of the results of these audits.

Iris Re is organized as a Bermuda exempted company and registered as a Class E Reinsurer. Iris Re made a 953(d) election to be taxed in the U.S. effective June 1, 2024. Iris Re is not subject to Bermuda income or capital gains tax under current Bermuda law. However, Bermuda enacted the Corporate Income Tax Act 2023 on December 27, 2023. The CITA introduces a 15% corporate income tax rate, effective for tax years beginning on or after January 1, 2025. Since Iris Re is not part of a multinational enterprise group, it is not expected to be in scope for the corporate income tax.

The following table reconciles the effective income tax:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Expected income tax expense (benefit) at weighted average rate	\$ 36,351	\$ (6,662)
Addition (reduction) in income tax resulting from:		
Disregarded entities	(111)	—
Change in valuation allowance	(4,577)	4,577
Total income tax expense (benefit)	\$ 31,663	\$ (2,085)

Deferred income taxes

Deferred income taxes reflect the net effects of temporary differences between financial reporting and tax basis of assets and liabilities. These temporary differences result in taxable or deductible amounts in future years and are measured using the tax rates and laws that will be in effect when such differences are expected to reverse. Valuation allowances are established to reduce deferred tax assets to the amount that more-likely-than-not will be realized.

At each reporting date, management considers new evidence, both positive and negative, that could impact the future realization of deferred tax assets. Management will consider a release of the valuation allowance once there is sufficient positive evidence that it is more likely than not that the deferred tax assets will be realized. Any release of the valuation allowance will be recorded as a tax benefit, increasing net income or OCI.

The table below presents the significant components of deferred tax assets and liabilities:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Deferred tax assets:		
Tax attributes carryforward	\$ 80,504	\$ 54,350
Investments	—	9,900
Subtotal deferred tax assets	80,504	64,250
Valuation allowance	—	(4,577)
Total deferred tax assets	80,504	59,673
Deferred tax liabilities:		
Insurance reserves	(71,103)	(59,673)
Investments	(15,994)	—
Total deferred tax liabilities	(87,097)	(59,673)
Total deferred tax assets (liabilities), net	\$ (6,593)	\$ —

The Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. The completion of tax examinations may result in changes to the amounts recognized in the Company's financial statements.

Tax attributes

As of December 31, 2025, the Company has a U.S. federal NOL carryforward of \$289.4 million, all of which has an indefinite life;

Unrecognized tax benefits

The Company recognizes tax positions in the financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized on settlement. A liability is established for differences between positions taken in a tax return and amounts recognized in the financial statements. The Company believes that its income tax filing positions and deductions will be sustained on audit and does not anticipate any adjustments that will impact the Company's balance sheets, income statements or cash flows. As of December 31, 2025, and 2024, the Company did not record a liability related to accounting for uncertainty in income taxes.

Status of open tax years

The Company's federal income tax returns are routinely audited by the IRS and when appropriate, provisions are made in the financial statements in anticipation of the results of these audits.

(10) Reinsurance

Effective June 1, 2024, the Company entered into a funds withheld coinsurance agreement with an affiliate Sponsor Insurance Subsidiary whereby it assumed payout and fixed annuities on a funds withheld basis. As of December 31, 2025, assumed annuity reserves are \$8.2 billion.

The effects of all reinsurance agreements on the balance sheets were as follows:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Policy liabilities:		
Assumed	\$ 8,168,971	\$ 3,015,079
Total policy liabilities	\$ 8,168,971	\$ 3,015,079

The Company determines the appropriate amount of reinsurance based on evaluation of the risks accepted and on market conditions (including the availability and pricing of reinsurance). The Company evaluates the financial condition and monitors concentrations of credit risk with its affiliate Sponsor Insurance Subsidiary. Based on its review of the affiliate Sponsor Insurance Subsidiary's financial statements and reputations in the reinsurance marketplace, the Company held no allowance for uncollectible amounts as of both December 31, 2025, and 2024.

As of December 31, 2025, and 2024, respectively, the Company had \$9.3 billion and \$3.5 billion of funds withheld receivable at interest, with a affiliate Sponsor Insurance Subsidiary

related to funds withheld contracts. The assets supporting these receivables were held in trusts by the an affiliate of the Sponsor Insurance company.

The effects of reinsurance on the statements of income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Assumed:		
Premiums	\$ 2,039,251	\$ 1,199,915
Policy fees	162	4
Policy benefits and claims	2,158,999	1,173,093

(11) Dividend restrictions and statutory information

Iris Re is subject to the Bermuda Insurance Act 1978, as amended, and related regulations (the “Bermuda Insurance Act”).

The Bermuda Insurance Act limits the ability of Iris Re to pay dividends or make capital distributions by stipulating certain margin and solvency requirements, and by requiring approval from the BMA prior to a distribution of 15% or more of an insurer’s total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the Bermuda insurer, at least seven days prior to payment of any dividend which would exceed 25% of an insurer’s total statutory capital and surplus as reported on its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins (“Bermuda Dividend Affidavit”). Accordingly, Iris Re may distribute up to: (1) 100% of statutory surplus; plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits Iris Re from declaring or paying any dividends during any financial year if it is in breach of its solvency margin, or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such an insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. Iris Re is also prohibited from declaring or paying a dividend when it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified. As of December 31, 2025, Iris Re exceeded all relevant capital requirements. The aggregate amount of dividends and capital distributions permitted to be made from Iris Re, without a required approval from or a submission of an affidavit to the BMA during the year ended December 31, 2026, is \$364.0 million.

Statutory financial information

The Bermuda Insurance Act requires Iris Re to prepare and file statutory financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP

primarily due to a modification that permits Iris Re not to measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.

The Bermuda Insurance Act also requires Iris Re to maintain certain measures of solvency and liquidity. Iris Re's Bermuda statutory financial statements form the basis for assessing Iris Re's liquidity, minimum solvency margin, and class of registration. These financial statements in turn form the basis for the preparation of the insurer's economic balance sheet. The economic balance sheet approach is a principles-based valuation approach to determine an insurer's capital adequacy, and is used as the basis for determination of Iris Re's enhanced capital requirement.

(12) Related party transactions

The Company has an investment management service agreement with Kohlberg Kravis Roberts & Co. ("KKR"), the Company's ultimate parent and the ultimate parent of the GALD. KKR provides investment management services across the Company. The Company recorded expenses, included in net investment income (loss), for this agreement of \$17.7 million and \$86 thousand for the years ended December 31, 2025, and 2024 respectively. The Company had \$88 thousand and \$53 thousand payable as of December 31, 2025, and 2024, respectively.

The Company has agreements with certain affiliates under GALD. These affiliates agreed to provide personnel, management services, administrative support, the use of facilities, and such other services as the parties may agree from time to time. The Company recorded expenses of \$6.3 million and \$1.1 million for the years ended December 31, 2025, and 2024, respectively. The Company had \$14.9 million and \$2.3 million payable as of December 31, 2025, and 2024, respectively.

The Company has entered into a funds withheld coinsurance agreement with the cedant, Global Atlantic Re Limited, a licensed reinsurer, and a wholly owned subsidiary of one of the Company's parent companies, GALD. See Note 10—"Reinsurance" for additional information regarding these transactions. As such, the aforementioned reinsurance transaction is considered a transaction with a related party.

The Company had \$8.0 million and \$1.7 million net receivable amount due from GA Iris FinCo LLC and GA Iris LLC, affiliate companies, as of December 31, 2025 and 2024, respectively.

(13) Commitments and contingencies

Contingencies

Legal matters

As of the date of these financial statements, the Company is not involved in judicial, regulatory, or arbitration matters. The Company expects that they may, from time to time, be involved in judicial, regulatory, and arbitration proceedings concerning matters arising in connection with the conduct of the Company's business. The Company will, at such time, assess the reasonable probability that a loss may be incurred, and reflect any such reasonably probable loss on its financial statements.

(14) Subsequent events

The Company evaluated all events and transactions through April 23, 2026, the date the accompanying financial statements were available to be issued, that would merit recognition or disclosures in the financial statements, and with the exception of the matters disclosed below, determined that nothing arose that merits recognition or disclosure.

Subsequent to December 31, 2025, the Company has received \$63.0 million in capital contributions from its parent.